

CASE FILE AND JUDGMENT

Corporate Insolvency Resolution Process (CIRP) — Resolution Applicant Eligibility and Appeal Against Stay

Case title: Apex Capital Ventures Ltd. v. Zenith Infrastructures Pvt. Ltd. & Ors.

Forum stated in supplied text: National Company Law Appellate Tribunal (NCLAT), New Delhi

Case number stated in supplied text: Company Appeal (AT) (Insolvency) No. 782 of 2022

Underlying proceedings: IA No. 1145 of 2022 in CP (IB) No. 224/KB/2022

Date stated in supplied text: 18 December 2022

Document type: Appellate insolvency judgment / case file concerning the Corporate Insolvency Resolution Process (CIRP) under the Insolvency and Bankruptcy Code, 2016 (IBC).

Important source note: This PDF is a formatted version of the supplied text, with an explanatory case-type note added. The source text contains apparent date and chronology inconsistencies; these are flagged in the explanatory section rather than silently changed. This should not be treated as a verified official court judgment.

1. What type of case file is this?

Based on the supplied document, this is a **corporate insolvency and insolvency-resolution appeal**. More specifically, it is presented as an appeal under Section 61 of the Insolvency and Bankruptcy Code, 2016 (IBC), challenging an order of the National Company Law Tribunal (NCLT) that stayed the Corporate Insolvency Resolution Process (CIRP).

The central dispute is whether a newly incorporated company controlled by the corporate debtor's existing promoters can submit a resolution plan when those promoters are alleged to be ineligible under Section 29A(c) of the IBC. The file also addresses the Resolution Professional's duties to check a plan's legal compliance and whether the entire CIRP should be paused while eligibility is disputed.

In simple terms: A lender says a company has failed to repay a loan. Insolvency proceedings begin. The company's existing promoters allegedly try to regain control through a newly formed connected company. The lender objects, arguing that the connected company should not be allowed to submit a resolution plan. The appeal concerns how that objection should be handled without stopping the entire insolvency process.

2. Parties and their roles

Party	Role described in the file
Apex Capital Ventures Ltd.	Appellant and financial creditor; described as an NBFC that advanced the term loan.
Zenith Infrastructures Pvt. Ltd.	Respondent No. 1 and corporate debtor; borrower alleged to have defaulted.
Rajiv Malhotra & Ors.	Respondent Nos. 2–4; promoters of the corporate debtor.
Anand Kumar, IRP/RP	Respondent No. 5; insolvency professional responsible for administering the CIRP, as described in the file.
New Zenith Developers Ltd.	Newly incorporated entity that submitted the disputed resolution plan; alleged to be controlled by or connected with the existing promoters.

3. Synopsis of the dispute

The supplied text states that Apex Capital Ventures Ltd. sanctioned a term loan of ₹50 crore to Zenith Infrastructures Pvt. Ltd. on 12 January 2021, secured by a first mortgage over specified properties in Gurugram. The borrower allegedly defaulted from 15 March 2022. The lender then initiated proceedings under Section 7 of the IBC, seeking commencement of the CIRP.

After the CIRP began, New Zenith Developers Ltd. submitted a resolution plan. The lender objected that the new company was a vehicle for the existing defaulting promoters and was therefore ineligible under Section 29A(c). The Resolution Professional's stated position was that the new company was a separate legal entity and had not itself defaulted. The NCLT is described as having stayed the entire CIRP while the eligibility question was considered. The lender appealed against that stay.

4. Chronology and list of dates

Date	Event stated in supplied text
12 Jan 2021	Term loan agreement for ₹50 crore stated to have been executed.
15 Mar 2022	Borrower stated to have defaulted on instalments.
10 Apr 2022	Demand notice under Section 8 stated to have been issued.
25 Apr 2022	Section 7 application stated to have been filed before NCLT, Kolkata.
5 Jun 2022	Section 7 application stated to have been admitted and IRP appointed.
20 Aug 2022	CIRP commencement/public announcement stated in the list of dates.
15 Oct 2022	Last date for resolution plans stated in the list of dates.
1 Nov 2022	New Zenith Developers Ltd. stated to have submitted a resolution plan.
10 Nov 2022	Plan stated to have been circulated to the Committee of Creditors (CoC).
15 Nov 2022	Lender stated to have objected under Section 29A.
5 Dec 2022	NCLT stay order identified in the judgment body and final order.
18 Dec 2022	Date stated on the supplied judgment and appeal heading.

5. Questions considered in the appeal

- Whether the NCLT was justified in staying the entire CIRP.
- Whether New Zenith Developers Ltd., allegedly controlled by the defaulting promoters, was eligible to submit a resolution plan under Section 29A.
- Whether the Resolution Professional failed to perform duties under Section 30(2) by placing the disputed plan before the CoC.
- What directions were necessary to resume and complete the CIRP within the prescribed process.

6. Arguments attributed to the parties

6.1 Appellant / financial creditor

- The stay defeats the IBC's time-bound resolution objective and may prejudice creditors.
- The promoters were allegedly ineligible under Section 29A(c), and the newly incorporated bidder was said to be a connected vehicle for their return.
- The Resolution Professional had a duty under Section 30(2) to check statutory compliance, including eligibility.
- The appropriate response was to determine eligibility and reject an ineligible plan, rather than suspend the whole CIRP.

6.2 Corporate debtor and promoters

- New Zenith Developers Ltd. was argued to be a separate legal entity that had not itself defaulted.
- The stay was defended as an interim measure to examine a possible attempt to circumvent the Code.
- The promoters argued that the CoC should assess the plan's commercial merits, subject to legal requirements.

6.3 Resolution Professional

- The Resolution Professional stated that the role was facilitative rather than adjudicatory.
- The RP said the plan had been placed before the CoC and had not yet been approved by a vote.
- The RP supported ending the stay and resolving eligibility promptly so the process could continue.

7. Legal provisions and principles referred to

Section 7, IBC — initiation by a financial creditor

The file says the lender filed a Section 7 application to initiate CIRP after the borrower's alleged default. The NCLT is described as admitting the application after finding a default of ₹45.2 crore.

Section 12, IBC — timeline for CIRP

The supplied judgment refers to statutory time limits for the CIRP and reasons that an indefinite stay undermines a time-bound resolution process. The exact applicable statutory timeline should be checked against the law in force for the relevant date.

Section 14, IBC — moratorium

The text states that a moratorium was declared after admission and directs that it continue until completion of the CIRP or approval of a resolution plan, whichever occurs earlier. The operation and duration of a moratorium should be verified against the statute and the actual court record.

Section 29A(c), IBC — ineligibility of certain resolution applicants

The dispute focuses on whether a person connected with a corporate debtor's default may submit a resolution plan, and whether the restriction can extend to an entity controlled by or acting in concert with such a person. The file applies a substance-over-form approach to the newly incorporated bidder.

Section 30(2), IBC — compliance review of resolution plans

The supplied text states that the Resolution Professional must verify that a plan meets the statutory requirements and does not contravene law. It concludes that the eligibility question cannot simply be left to the CoC's commercial decision.

Section 61, IBC — appeal

The document presents the case as an appeal under Section 61 against an NCLT order in an insolvency proceeding.

Authorities named in the supplied text

The text refers to *ArcelorMittal India Pvt. Ltd. v. Satish Kumar Gupta and Innoventive Industries Ltd. v. ICICI Bank*. The references and the way they are applied here have not been independently verified for this PDF.

8. Reasoning and findings stated in the supplied judgment

Issue I — stay of the entire CIRP

The text reasons that the NCLT should not use inherent powers to frustrate the IBC's statutory process. It says the eligibility objection should be decided promptly, without stopping all insolvency activity, and sets aside the stay.

Issue II — eligibility of New Zenith Developers Ltd.

The text states that the new bidder was incorporated shortly before submitting the plan and was allegedly connected to the existing promoters. Applying Section 29A and the cited Supreme Court authority, the supplied judgment treats the new bidder as an alter ego of the promoters and declares its plan ineligible.

Issue III — duties of the Resolution Professional

The text concludes that the Resolution Professional had a duty to check statutory eligibility. It nevertheless says the RP acted in good faith by seeking adjudication and does not recommend adverse action at that stage.

Issue IV — directions to move the CIRP forward

The text directs a fresh invitation for expressions of interest and a new opportunity for eligible resolution applicants to submit plans, with a stated timetable and compliance reporting.

9. Final order as recorded in the supplied text

- The appeal is allowed in part and the NCLT order dated 5 December 2022 is modified; the stay on CIRP is vacated.
- The Resolution Professional is directed to reject the plan submitted by New Zenith Developers Ltd. and inform the Committee of Creditors.
- A fresh public announcement inviting expressions of interest is to be issued within 15 days.
- The last date for fresh resolution plans is stated to be 45 days from the public announcement.
- The CIRP is directed to be completed within 90 days from the order, and a compliance report is to be filed within 100 days.
- The moratorium under Section 14 is stated to continue until completion of the CIRP or approval of a resolution plan, whichever is earlier.
- The parties are directed to bear their own costs.

10. Outcome and practical significance

According to the supplied text, the appeal succeeds in part. The immediate stay is removed, the disputed plan is rejected as ineligible, and the Resolution Professional must restart the plan-invitation process. The stated reasoning emphasizes that the CIRP should proceed in a time-bound manner while statutory eligibility requirements are enforced.

For a student case analysis, the key themes are: (1) financial-creditor initiation of insolvency; (2) promoter ineligibility under Section 29A; (3) the Resolution Professional's compliance-checking role; (4) the relationship between the CoC's commercial judgment and mandatory legal requirements; and (5) avoiding delay in a time-sensitive insolvency process.

11. Important inconsistencies and verification cautions

The supplied text contains internal inconsistencies. They are listed here transparently because this PDF is based on that text and is not an independently authenticated court record:

- The synopsis says the impugned order was dated 05.06.2022, but the body and final order identify it as 05.12.2022.
- The heading describes the appeal as filed on 18.12.2022, while the list of dates also records the NCLT stay on 05.12.2022 and the appeal on 18.12.2022. This is a very compressed chronology and should be checked against the official docket.
- The list of dates says the CIRP commenced/public announcement occurred on 20.08.2022, although the Section 7 admission is stated to have occurred on 05.06.2022. The chronology may require confirmation.
- The text says the promoters had been in default for over a year, but elsewhere dates the borrower's default from 15.03.2022 and the order to December 2022. These statements do not align on their face.
- The file describes a Section 8 demand notice before a Section 7 application. The statutory basis and procedural sequence should be checked against the actual record and applicable law.
- The caption, bench composition, party names, case numbers, cited authorities, dates, and operative directions have not been authenticated against an official NCLAT judgment.

Use caution: If this is for a legal submission, court filing, or formal research citation, obtain the official judgment and verify the case number, dates, parties, cited precedents, and operative order. Do not cite this formatted PDF as proof that the stated judgment is authentic.

12. Short case brief

Heading	Summary
Case type	Corporate insolvency appeal under the IBC, concerning CIRP and resolution-plan eligibility.
Core issue	Whether a newly incorporated entity allegedly controlled by defaulting promoters may submit a resolution plan under Section 29A.
Appellant's position	The connected bidder is ineligible and the CIRP should not have been stayed.
Respondents' position	The bidder is a separate legal entity and the stay was needed to examine eligibility.
Finding stated in supplied text	The stay is vacated and the connected bidder's plan is rejected as ineligible.
Relief stated	CIRP resumes; fresh EOI and resolution-plan timetable are ordered.

Prepared from the text supplied by the user. Explanatory descriptions are intended for study and understanding, not as legal advice.